

2.8 Dispute Resolution Procedure

Five escalating steps from a phone call to a courtroom. Work them in order and document each one — most disputes die at step one or two, and the paper trail is what wins the ones that don't.

Template for general reference — have your attorney review before use. Not legal advice.

Project Name: _____

Project Address: _____

Owner: _____

This document outlines the procedures for resolving disputes between the owner and contractors / subcontractors. Following these steps can help resolve issues efficiently and cost-effectively while maintaining professional relationships.

STEP 1: INITIAL COMMUNICATION

Timeline: Within 3 business days of issue arising

Objective: Resolve the issue through direct, informal communication

Actions

1. Identify the specific issue or concern
2. Contact the other party directly (phone call or in-person meeting preferred)
3. Discuss the issue calmly and professionally
4. Listen to the other party's perspective
5. Attempt to reach a mutually acceptable solution
6. Document the conversation and any agreements reached

Documentation

Date of communication: _____

Method: ☐ Phone ☐ In-person ☐ Email ☐ Text

Parties involved: _____

Summary of discussion

Agreement reached: ☐ Yes ☐ No

If yes, describe

If the issue is resolved at this step, no further action is needed. If not resolved, proceed to Step 2.

STEP 2: WRITTEN NOTICE

Timeline: Within 7 business days if Step 1 does not resolve the issue

Objective: Formally document the dispute and proposed resolution

Actions

1. Prepare written notice of dispute including the items below
 - Detailed description of the issue
 - Relevant contract provisions or agreements
 - Timeline of events
 - Supporting documentation (photos, invoices, emails, etc.)
 - Desired resolution
 - Deadline for response (typically 7 business days)
2. Deliver notice via certified mail, return receipt requested
3. Keep copies of all documentation
4. Await written response from other party

Written Notice Checklist

- ☐ Description of dispute clearly stated
- ☐ Relevant dates and timeline included
- ☐ Supporting documents attached
- ☐ Specific resolution requested
- ☐ Response deadline specified
- ☐ Sent via certified mail
- ☐ Copy kept for records

Documentation

Date notice sent: _____ Date response received: _____

Certified mail tracking #: _____

Response summary

Agreement reached: ☐ Yes ☐ No

If the issue is resolved at this step, document the agreement in writing and have both parties sign. If not resolved, proceed to Step 3.

STEP 3: FORMAL MEETING

Timeline: Within 14 business days of written notice if issue remains unresolved

Objective: Meet face-to-face to negotiate a resolution

Actions

1. Schedule meeting at mutually convenient time and neutral location
2. Both parties should bring:
 - All relevant documentation
 - Contract and any change orders
 - Photos, invoices, correspondence
 - Witnesses (if applicable)

3. Conduct meeting professionally:
 - Present facts and evidence
 - Allow each party to speak without interruption
 - Focus on solutions, not blame
 - Explore compromise options
4. Document meeting minutes and any agreements
5. Both parties sign meeting summary

Meeting Documentation

Date of meeting: _____ Time: _____

Location: _____

Attendees: _____

Summary of discussion

Proposed solutions discussed

Agreement reached: ☐ Yes ☐ No

If agreement is reached, both parties must sign a written settlement agreement. If not resolved, proceed to Step 4.

STEP 4: MEDIATION

Timeline: Within 30 days if Steps 1–3 do not resolve the issue

Objective: Use a neutral third-party mediator to facilitate resolution

What is Mediation?

Mediation is a voluntary process where a neutral third party (mediator) helps both sides reach a mutually acceptable agreement. The mediator does not make decisions but facilitates communication and negotiation.

Benefits of Mediation

- Less expensive than arbitration or litigation
- Faster resolution (typically 1–2 sessions)
- Confidential process
- Preserves business relationships
- Both parties control the outcome
- Non-binding (unless agreement is reached)

Actions

1. Both parties agree to participate in mediation
2. Select mediator:
 - Mutually agreed upon individual
 - Local mediation service
 - Construction dispute specialist
3. Split mediation costs equally (unless otherwise agreed)
4. Prepare mediation statement outlining position and desired outcome
5. Attend mediation session(s)
6. If agreement is reached, sign binding settlement agreement

Mediation Resources

- American Arbitration Association (AAA): www.adr.org
- Local bar association mediation services
- State court-annexed mediation programs
- Private mediation services

Mediation Documentation

Mediator selected: _____

Contact: _____ Phone: _____

Date of mediation: _____ Cost, split equally (\$): _____

Agreement reached: ☐ Yes ☐ No

Settlement amount / terms

If mediation is successful, both parties sign a settlement agreement and the dispute is resolved. If mediation fails, proceed to Step 5.

STEP 5: ARBITRATION OR LITIGATION

Timeline: If all other methods fail

Objective: Obtain a binding decision from an arbitrator or court

Option A: Binding Arbitration

Arbitration is a formal process where a neutral arbitrator (like a private judge) hears evidence from both sides and makes a binding decision. The decision is final and generally cannot be appealed.

1. File demand for arbitration with arbitration organization (AAA, JAMS, etc.)
2. Pay filing fee (typically \$1,000–\$3,000+)
3. Select arbitrator (or use arbitration service's selection process)
4. Conduct discovery (exchange of information / evidence)
5. Attend arbitration hearing
6. Arbitrator issues binding decision
7. Decision is enforceable in court

Pros	Cons
• Faster than court litigation • Less formal procedures • Arbitrator may have construction expertise • Private and confidential	• Can be expensive (arbitrator fees, attorney fees) • Limited appeal rights • Discovery may be limited

Option B: Small Claims Court

Small claims court is appropriate when the dispute amount is below the state's small claims limit (typically \$5,000–\$10,000 depending on state).

1. File claim at county small claims court
2. Pay filing fee (typically \$30–\$100)
3. Serve defendant with claim

4. Attend hearing (no attorneys required in most states)
5. Present evidence to judge
6. Judge issues decision (usually immediately)

Pros	Cons
• Inexpensive and fast • Simple procedures, no attorney needed • Quick resolution (typically within 30-90 days)	• Limited to lower dollar amounts • Limited discovery • Appeal rights may be limited

Option C: Civil Litigation

Civil litigation in regular court is typically used for larger disputes exceeding small claims limits or when arbitration is not required by contract.

1. Hire attorney
2. File complaint in civil court
3. Serve defendant with complaint
4. Defendant files answer
5. Discovery phase (depositions, interrogatories, document requests)
6. Pre-trial motions and hearings
7. Trial (before judge or jury)
8. Judge or jury renders verdict
9. Right to appeal

Pros	Cons
• Full discovery rights • Right to jury trial • Right to appeal • Established rules of evidence and procedure	• Expensive (attorney fees, court costs, expert witnesses) • Time-consuming (can take 1-3+ years) • Public record • Uncertain outcome

DOCUMENTATION REQUIREMENTS

Throughout the dispute resolution process, maintain documentation of:

- ☐ All communications (emails, letters, text messages)
- ☐ Meeting notes and summaries
- ☐ Photos of disputed work or conditions
- ☐ Invoices, payment records, receipts
- ☐ Contract and any change orders
- ☐ Relevant building codes or specifications
- ☐ Expert reports or inspections

- ☐ Timeline of events
- ☐ Witness statements
- ☐ Any other relevant evidence

Documentation storage location: _____

TIMELINE SUMMARY

Escalation at a Glance

Step	Timeline	Action
1. Initial Communication	3 days	Direct communication to resolve issue
2. Written Notice	7 days	Formal written notice of dispute
3. Formal Meeting	14 days	Face-to-face negotiation meeting
4. Mediation	30 days	Third-party mediation
5. Arbitration / Litigation	As needed	Binding arbitration or court

IMPORTANT NOTES

- Attempt to resolve disputes at the earliest possible step
- Keep all communications professional and documented
- Consult with an attorney before proceeding to arbitration or litigation
- Check your contract for specific dispute resolution requirements
- Be aware of statute of limitations for filing claims in your state
- Consider the cost of dispute resolution versus the amount in dispute